ADVANCED

LIQUIDITY TRADING CONCEPT



DANIEL STONES

THE ADVANCED LIQUIDITY TRADING CONCEPT

The Ultimate Liquidity concept, Liquidity pools, Mitigation, Imbalances, Stop Hunts and Manipulation, Supply/Demand Price Action & order block

Daniel Stones

Copyright ©2023 Daniel Stones

All rights Reserved

No part of this publication may be reproduced, distributed or transmitted in any form or by any means including photocopying, recording, or other electronic or mechanical methods, without the prior written permission of the publisher.

Requirements

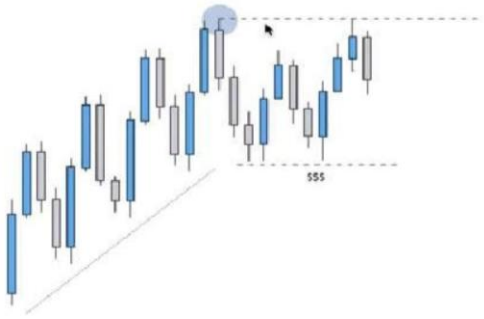
- Open mind
- A willingness to advance in trading
- Mindset of the market makers
- A willingness to unlearn old concept

Who this course is for:

- Forex Traders
- Crypto Traders
- Stock Traders
- Commodity Traders
- Indices Traders
- Synthetics Traders
- All Traders

LIQUIDITY AND MANIPULATION

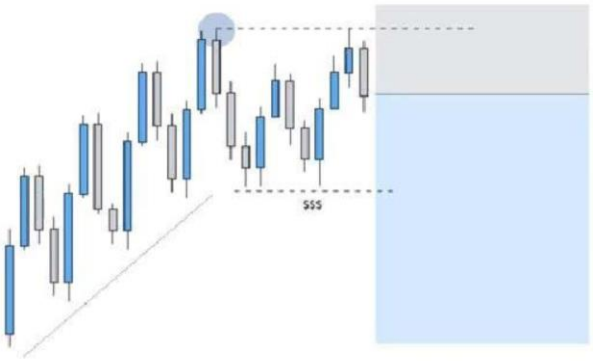
If we know exactly what the big banks and Institutions know, what does that really mean?



The presence of substantial liquidity above or below these zones suggests as much. As a result, whether it be a double, triple, quadruple, or other top, there is a ton of liquidity above. Furthermore, liquidity exists below double lows. Double tops are therefore referred to as EQHs and double lows as EQLs. We expect price gouging in and around these areas. Reviewing the data from earlier is all that is necessary because everything is there. Therefore, once we expect significant upward movements, sell size liquidity will often need to be generated in advance. We are able to act spontaneously as a result. It merely provided gasoline for the movement. Similar rules apply when we have big sideways moves downward; first, liquidity will usually need to be cleaned or eliminated.

After going through that, what we want to do is investigate this little pattern. According to this pattern, price was pushing upward, like an ascending channel, reached this high, was pushed back, was pushed downward, signaling a minor slowing in this uptrend, and was pushed downward to this low.

After achieving what is known as a double low here, the price essentially pushes up to this high, which is a double top.



Given that information, a lot of people will come here looking to buy. Once we get a nice rejection from it and a nice retracement, this will seem wonderful for most people because the price increased but we were unable to break above this double top, also known as an EQH.

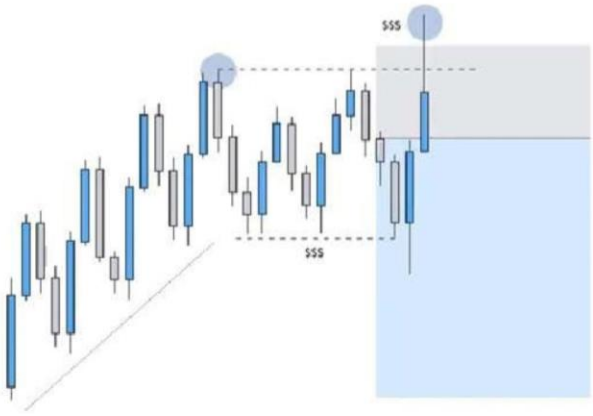
Retailers like our strong retrace candle because it suggests a potential move to the downside and rejection from a specific area.

Now that we have received a rejection from this DT, people want to sell this, but where are their stop losses going when they look to sell at DT? In actuality, they are going beyond the DT. However, it is clear that they have gone over the DT.

When retail predicts a downward movement, it constantly positions stops above or below DT.

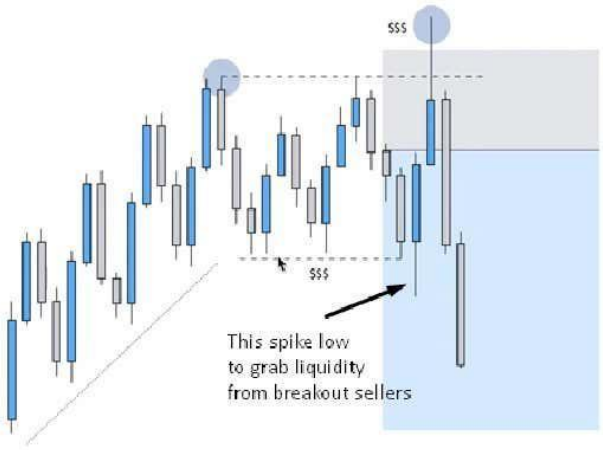
And these sectors have liquidity just for that reason. Essentially, this shows that many stop losses are situated in these locations.

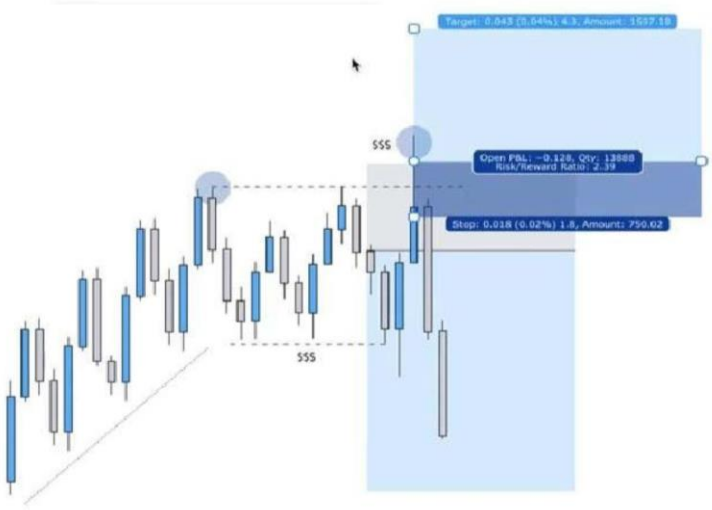
The information is readily available for everyone to see and monitor how it plays out on the charts on a daily basis, even if we don't know for sure—we are just assuming—that there are stop losses present in this case.



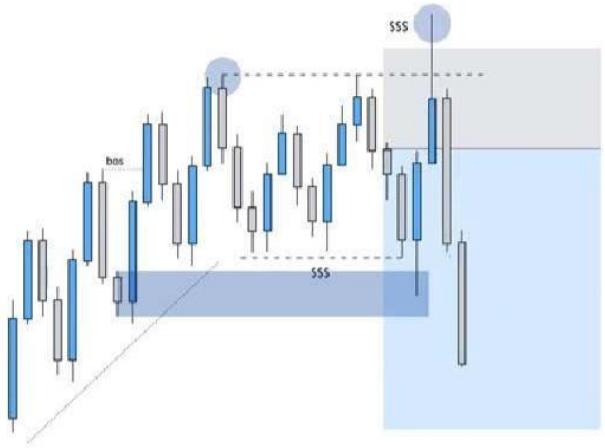
In light of this, once we have it, we are conscious that we are looking to enter, and we frequently notice a tiny price reduction.

We consequently have EQH and EQL. What is most likely occurring here, given that we also have liquidity below? Then, we'll probably climb back up. Given the information we know from individuals who are currently selling, we can infer that they might have switched to BE if their risk had been appropriately managed. That's what will happen. Most of the time, be going to emerge, seek all of this liquidity, which effectively just includes gathering money from everyone who sells, aiding in supplying any prospective swings that are going to occur in the future. Which is still likely to decrease, but the price may be declining for a cause now that the liquidity has been taken from this wick.





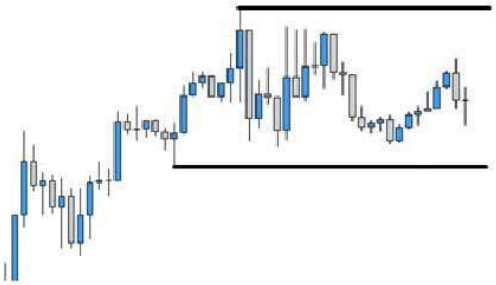
Additionally, some traders use breakouts and wait for a market to break out of a potential region before entering it. So, in essence, we are accumulating both buy side and sell side liquidity.



It's not unexpected now that we've seen how we picked up some really strong momentum following that liquidity grab. We can also see this spike low and this EHL, which indicates that we essentially stole liquidity from the sell side for those wanting to sell on breakout in this double low, if we also take a look at what happened before the price increased to take liquidity.

The price breaking below an EQL or DB and tapping into an OB, which is seen when we turn our sight to the left with the price section, can be seen if we likewise turn our gaze to the left.

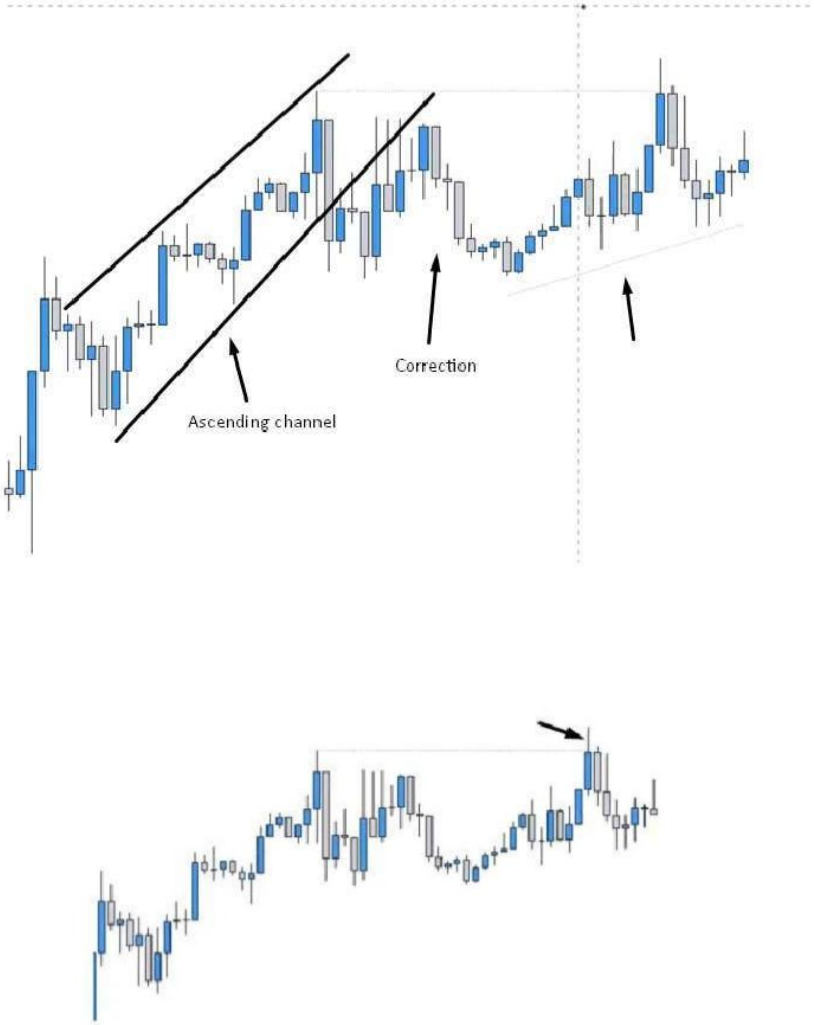
As we can see, price moved downward in the final down candle after moving in, grabbing liquidity, mitigating, pushing up, and grabbing liquidity. This indicates that our BOS was higher than this.





I thus have plans to visit the EU and present manipulation in its purest form. At this point in time, we are on one hour, and if we look at the price, it is obvious that we are optimistic. Price is creating Hs and trading above these lows.

As a result, the price has already started to drop after reaching a peak. Although we are fluctuating and keeping within this high and the most recent HL, it is obvious that we are also producing liquidity prior to market manipulation.



It has been broken because the price crossed this high but closed below it. As a result, a priced-in retrace candle pushes downward.

It is clear that this is an ascending channel given the correction, significant price pushdowns, and huge ascending corrective move back up to that DT.



The neckline has been broken, therefore traders will now be watching for a break and retest. This is the head, left shoulder, and right shoulder of a head and shoulders pattern, and we can see a good impetus down in it.



Let's just note that this trend line has been broken because it was a stunning impulsive breach and mark it as the break. What would become to the entries then? We made a snap choice, and perhaps this is when we went in.



People will start seeking for short now that it is clear that the head and shoulders are low.



Price pushes down, we push up, generating a break and retest; beyond that high, we can set a stop loss; and then price pushes down, but we are pulled out.

As we just saw on the diagram, this was a ruse. If we look to the left, we can see that we performed a BOS, which as we all know, leaves an OB in its wake. We did a wick below, but since we also placed a BOS on the final down candle, it was probably tapping into this wick.



Therefore, we would notice that it was down if we were looking to trade this.



This would be a point of resistance, so we're just going to keep moving this line. We were able to claim that when we shattered it, it might have become a point of resistance since we also had some support.



There is a lot of selling going on when price encounters resistance. In order to remove that liquidity from these highs, we will soar. What should we be searching for? Grab the money from stop losses as the price has a reason to potentially decrease. Consider the momentum. Since we removed all of this liquidity from this sector, we now have gasoline, which is why we are experiencing such momentum.

Take a look at where the price split; despite the fact that we did, we drew back in, and people were also selling at this point. When long-term breakout traders accomplish their profit objectives, the market turns against them.

As a result, both the buy and sell sides are providing liquidity to us.

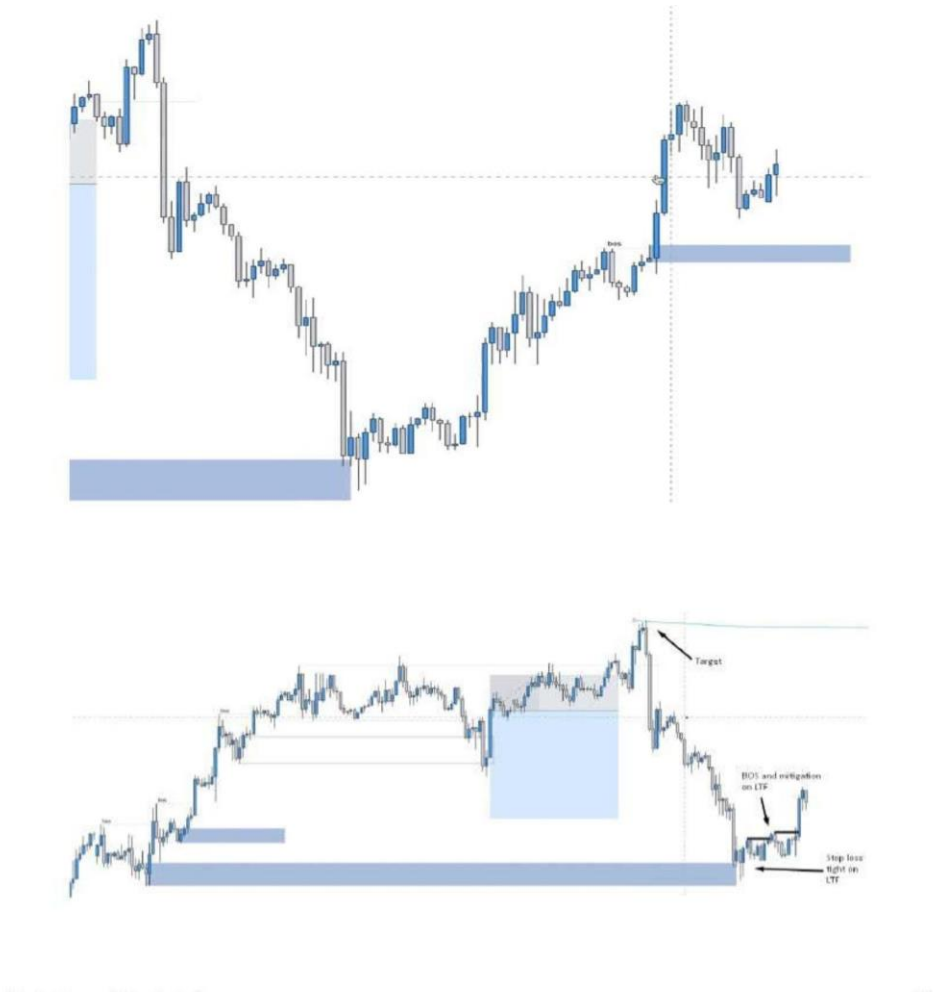


Then, what is likely to happen now?



Price has a reason to go down, but what should we take into account for a potential entry? Looking at what we now have, we can see that there are several untested locations, a down candle that recently formed an OB that formed a BOS, and a spot right here with an OB that formed a BOS impulsively. These are the areas where the price may in fact change.

We are now able to perceive the momentum because we had this liquidity sweep from here, which can sense the move downward, breaking this bottom here, and really tapping into a real place where huge institutions are trying to get involved. Although there has been a slight reversal, the general momentum is still present. We can therefore see how the price has behaved when we enter the market, and these are the areas where SMC traders are attempting to enter the trade.



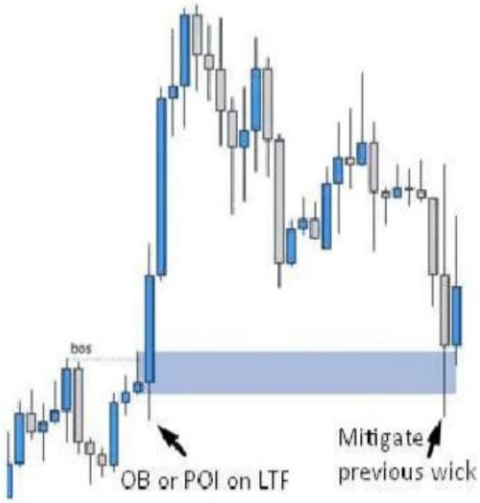
We will interpret this as BOS, mitigation, BOS, as we can now see that the price has been tapped in, mitigated, and that these little BOS are essentially LTF mitigations. There is no reason why the price shouldn't target back up here, so we know we can place trades like this from down here on an LTF with incredibly tight stop losses and the belief that it will eventually do so. We remain bullish despite the momentum we are now witnessing. But it's crucial to take into account why the momentum happened and where the price is right now. There is no reason why we cannot be aiming higher at this point, and we will observe the momentum that develops as soon as the price has a valid reason to move. However, the key is that the price has grabbed liquidity and has tapped into a strong level of interest. Now, granted, we could take some sells in here down to these regions without a doubt.

Heavy momentum can be noticed now that the price is rising and there has been a little retracement. The BOS structure has been destroyed, as can be seen if we concentrate on this specific area of the price chart.



The candle before the current motion can then be taken, leaving the final downward candle behind. We can therefore look to move on from here.

We now anticipate a return to lower prices in order to correct the imbalance mitigate this move, and then go on.

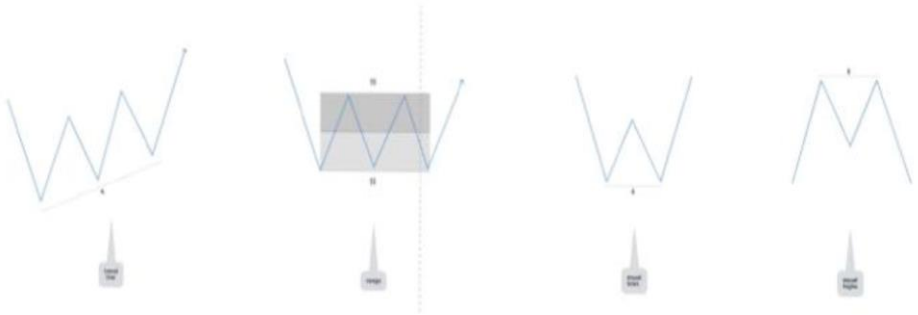




Prices declines and wicks below. We already have this wick, so all we have to do is take a peek at an LTF OB or POI to see how the price was mitigating that wick.

Since there is a justification for the price to rise, the price rises upward as anticipated and picks up speed. Even though the most recent downward candle was undoubtedly very enormous, we can still improve it in an LTF, and right now we are also BOS once more to the upside. Price nodded in agreement before moving up. However, this is essentially how we should be seeing the market as well.

TYPES OF LIQUIDITY IN FOREX





Along a trend line, there is movement, support, and resistance. The three types of liquidity that I pay particular attention to are trend line liquidity, support and resistance (which, in certain cases, I'll also refer to as a range), and EQL and EQH (also known as double bottom and double top in some cases).

In my opinion, these three types of liquidity should be understood the most.

When seeking for uptrend liquidity, traders should buy around trend lines or wait for breakouts to go short; however, when looking for downtrend liquidity, traders should do the opposite.



Since there will likely be a lot of liquidity created in these areas, we should expect the market to constantly manipulate prices in order to profit from liquidity before a large move.

If we hit the EU, for instance, a negative trend line will be visible, confirming our clear bearishness and adding LLs and LHs. Note how accurately the wicks are moving after our three taps on this trend line.

This is not merely a coincidence, as wealthy individuals or powerful organizations are likely to seize the opportunity presented by retail workers looking for these types of trends and will go to any lengths to entice them to the market.



We got a fantastic reaction, a retrace candle, which gives us all the indicators we need to enter, as can be seen when we examine the third tap of the trend line.

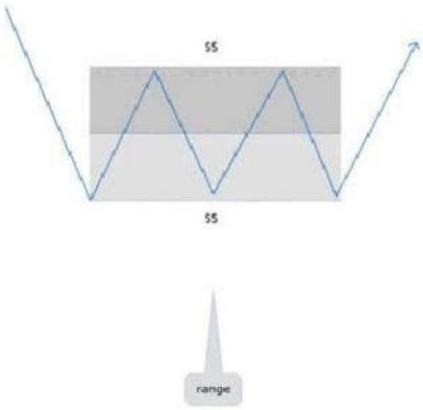
If retail traders think this trend will continue, their stop losses will probably be above this high and above the trend line.



You are aware of the arrangement, so let's watch how it proceeds. They are making money, and we get a good shove in return. We are currently above both the high and the trend line, though, as the price has altered course.

In this deal, the sellers essentially surrender their liquidity. Some breakout traders, on the other hand, believe that this denotes a break of the trend line, notably the upper trend line. They have buy stop orders above the trend line and are looking for the 90% at the bottom of this declining channel, so it appears as follows.

What is likely to happen given that we know they activate the buy stop? Retail traders are making modest profits up till the price ranges from an EQH and the price eventually reaches that new bottom.

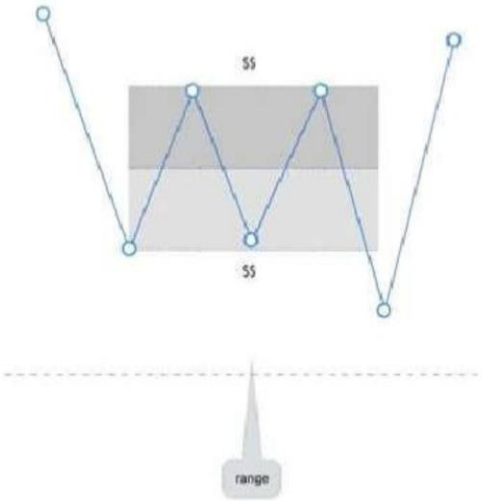


We can drastically affect the market by restricting sellers' and buyers' access to liquidity.

Let's now look at the second sort of liquidity: support and resistance, often known as a range.

Because of the price's three up-and-down swings on this chart, trades are being placed close to support. However, because the price has been constant for three times, this also functions as a sort of support and resistance.

There is a lot of liquidity above and below support as a result of purchasers who are selling and traders who want to buy more.



We differ from conventional traders in that we can buy and sell at any time due to the size of our positions. Large financial institutions and banks that need to buy and sell things and have a lot of money are the exception to this rule.



We can infer from this pattern that before price reversals, liquidity is commonly removed from a support, and before a barrier or side liquidity, before the price reverses again.

As a result, we will use the chart to show how the liquidity, support, and resistance of the trend lines have all changed. The fact that the trend line is increasing as a result is shown by the four taps that precisely match it. Even though they could be doing so on the third tap, buyers undoubtedly participate in the fourth tap. Stop losses must be set below this price and higher prices must be sought after.

Price does increase, allowing us to create an EQH in this area. Thereafter, price decreases, maybe indicating some BE. But there were no top-level structures that Price upset.

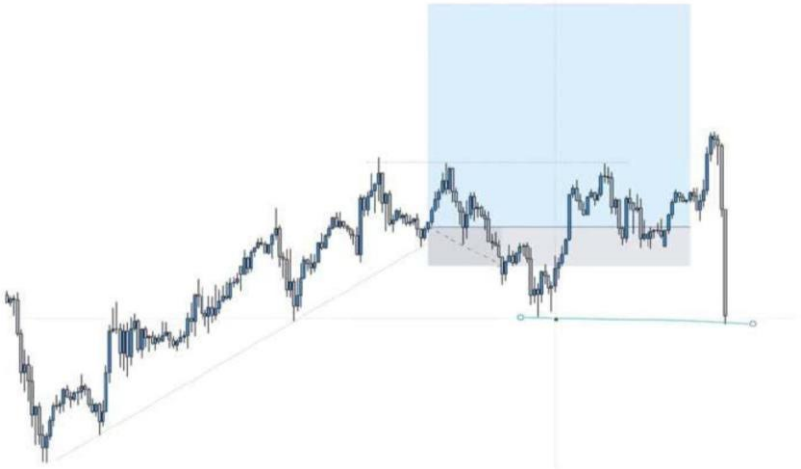


The price returns to take liquidity from any previous buyer since we are aware that there is liquidity at every market high and low, where price strives to go in order to obtain the

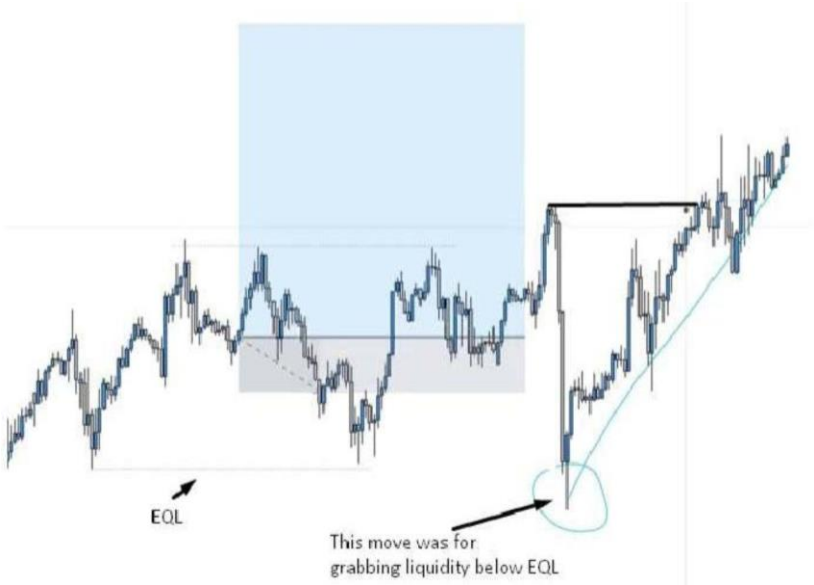
necessary liquidity. It is likely that any purchasers who joined the transaction at the third tap are still involved if they are still holding their deal.

As you can see, we break this trend line by wicking it here, pulling back, and BOS. As a result, those who see a break of the trend line must use sell stop orders or start short positions for those who are watching the breaking retest.

We build the EQH, also known as resistance, as the price begins to increase once more.



The price is delayed and then increased because sellers are involved. As a result, this is just a sweep of these highs because of liquidity. We can see that the next two candles have a lot of momentum after accounting for liquidity. Because the magnitude of these two candles is the same as the entire range, the price is now fluctuating.



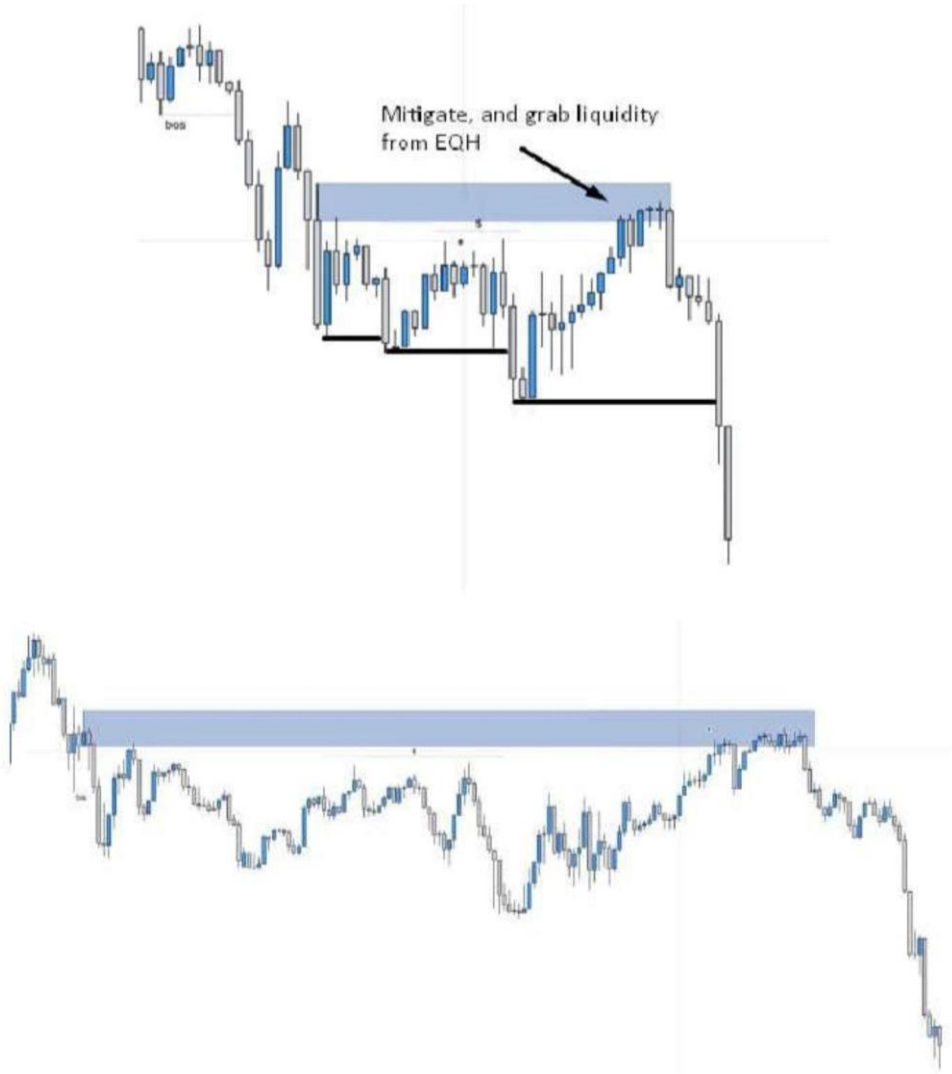
There was a push down to this lower side, we shall EQL and watch what happens next.



An area that was shifting to the left is likely what caused the price to drop below that threshold before rising again. What can we, however, conclude from this price change? We can be sure that liquidity exists below EQL because it occurs here. Consequently, price is simply gathering liquidity right now before reversing and BOS.

If we examine the example below on USDCHF of EQH, we can see that there was previously a sequence of LLs and LHs, which is why we BOS, and what we can do to LTF right now is filter this down.

This 15 minute wick will be an OB or a supply zone where we may short since, as we have already discovered, the 1 hour wick I have marked off with this zone is just an AOI on LTF.



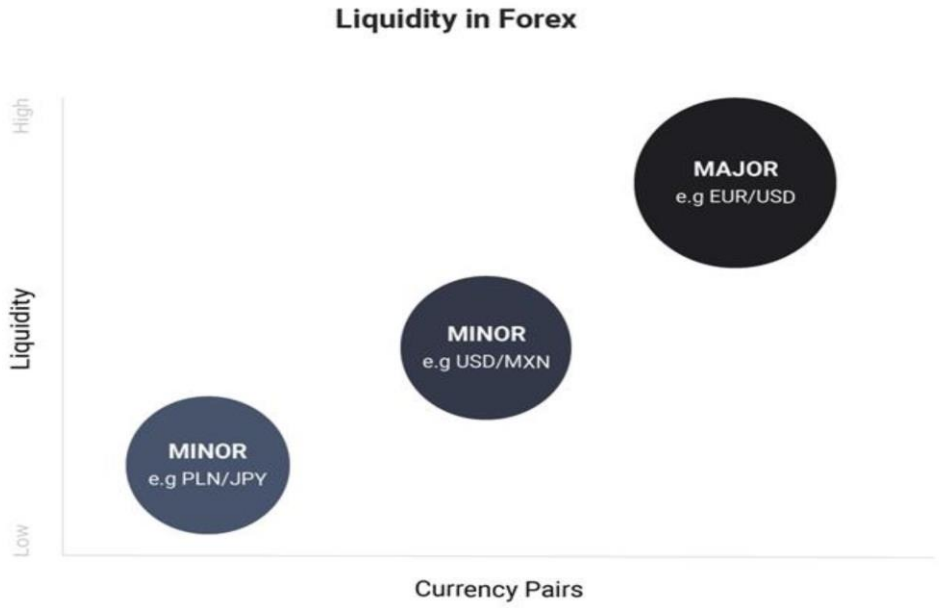
Zooming in, however, reveals that we are still below the LH that we are actually breaking above this structure here to mitigate this wick, and that we can see that mitigating has no momentum; it's just a corrective candle as price is removing liquidity from this EQH.

We can see the EQH and the object of interest, the OB, in amazing detail if we fast-forward to 15 minutes.

One of the first benefits of forex trading that a trader is likely to encounter is the forex market's greater liquidity than other marketplaces. According to the 2016 triennial report of the Bank of International Settlements, the most recent estimates show a daily traded volume of approximately $5.1 trillion.

The market is favored by traders due to the convenience of trading made possible by forex liquidity. But for the sake of liquidity, some FX market variations must be taken into account. In order to give readers a comprehensive grasp of how liquidity impacts trading, this article will define the terms "forex liquidity" and "liquidity risk."

LIQUIDITY: WHAT IS IT AND WHY IS IT IMPORTANT?



By definition, liquidity in the forex market refers to a currency pair's capacity to be traded (bought/sold) on demand. When you trade the biggest currency pairings, you do it on a very liquid market. However, you trade using the financial institutions' available liquidity, which allows you to enter or exit the trade (currency pair) of your choice.

Not every pair of currencies is liquid. In actuality, the liquidity of currencies varies depending on whether they are major, minor, or exotic pairs (including currencies from emerging markets). As traders go from main pairs to minor pairs, then to exotic pairs, forex liquidity decreases.

High Liquidity:

A currency pair with high liquidity in the forex market is one that may be purchased and sold in sizable amounts without experiencing significant changes in its exchange rate (price level), for example, major currency pairs like the EUR/USD.

Major currency pairs to be aware of include:

GBP/USD

USD/JPY

EUR/GBP

AUD/USD

USD/CAD

USD/CHF

NZD/USD

Low Liquidity

A currency pair with low liquidity in forex is one that cannot be bought or sold in sizable amounts without causing major changes in its exchange rate price level, for example, exotic currency pairs like the PLN/JPY.

Forex Liquidity vs. Illiquidity: 3 Major Signs to look out for

Because the volume of buying or selling at any given time might vary substantially, an illiquid market will have chaotic fluctuations or gaps from the perspective of a trader. A market with high liquidity is also described as being deep or smooth, and the price movement is also smooth. Because it is exceedingly difficult to manage risk if you are on the wrong side of a major move in an illiquid market, most traders need and should require a liquid market.

Here are three warning indicators to watch out for:

1. GAPS WHEN TRADING FOREX

Compared to other markets, forex has a variety of gaps. However, if a news announcement with a big impact, such as one announcing interest rates, surprises everyone, there could be price gaps in the FX market.

In the US, gaps can appear at the start of the week on Sunday afternoon. Overall forex gaps are typically less than 0.50% of a currency's value if a news event occurs over the weekend.

The charts below show how gapping draws attention to the liquidity differences between the currency market and the equity market.



Equity markets are prone to Gaps



Forex Market Exhibit Little or no Gapping

Due to the ongoing nature of the equity market, a market that trades continuously, like the forex market, is regarded more liquid or simply tends to have less gaps. As a result, traders are free to come and go from the market as they want. A market like the US Equity market or Futures Exchange, which only trades for a portion of the day, would be compressed into a narrower market since prices can rise at the open if overnight news surprises the market.

The Forex Liquidity Index

Brokers frequently provide a "volume" option on the chart so that traders may assess the market's liquidity. By examining the bars on the volume chart, this forex liquidity indicator is understood.

A suitable estimate of liquidity is provided to the trader by each volume bar, which shows the volume traded throughout the course of the specified time period. It's vital to keep in mind that the majority of brokers only display their own liquidity data, not the liquidity of the entire forex market. However, depending on the size of the broker, using a broker's liquidity as a metric can accurately represent the retail market.

Different Times of the Day Offer Different Amount of Liquidity

Scalpers and short-term traders should be mindful of the fluctuations in forex liquidity during the trading day. There are less active times, such as the Asian Session, which frequently trades in a range, making support and resistance levels more likely to hold from a speculative standpoint. Breakouts and bigger percentile changes over the day are more common during the major moving market sessions, such as the US and London sessions.

Due to its overlap with the European/London Session, which alone accounts for around +50% of daily worldwide volume, the US Morning Session is when you're most likely to see the greatest changes. Around 20% of trading takes place in the US session alone, and strong moves typically decline sharply in the US afternoon save for the few occasions a year when the Federal Open Market Committee (FOMC) makes a surprise statement.

TIME ZONES AND LIQUIDITY

Find out why forex is open 24hrs of the day, and how different time zones affect the price movement.

Forex Market Hours and Liquidity

You can only execute trades with indices, stocks, and the majority of other financial products that are traded on different international exchanges during those exchanges' open hours. Fortunately for forex traders, currencies are not subject to this restriction and can be exchanged at any time of day or night because the forex market is open every day of the week, 24 hours a day.

Taking advantage of trade opportunities at all times

Since the whole Forex market is operated electronically, inside a network of banks, it is referred to as an Over-the-Counter (OTC) or "Interbank" market because it lacks a physical presence or a central exchange. This implies that you can trade whenever it's convenient for you, 24 hours a day, using your broker.

Given that London is the primary hub for Forex trading, the 24-hour period shown below depicts the times when the Interbank and Retail FX markets were open for business.

Nylon Session

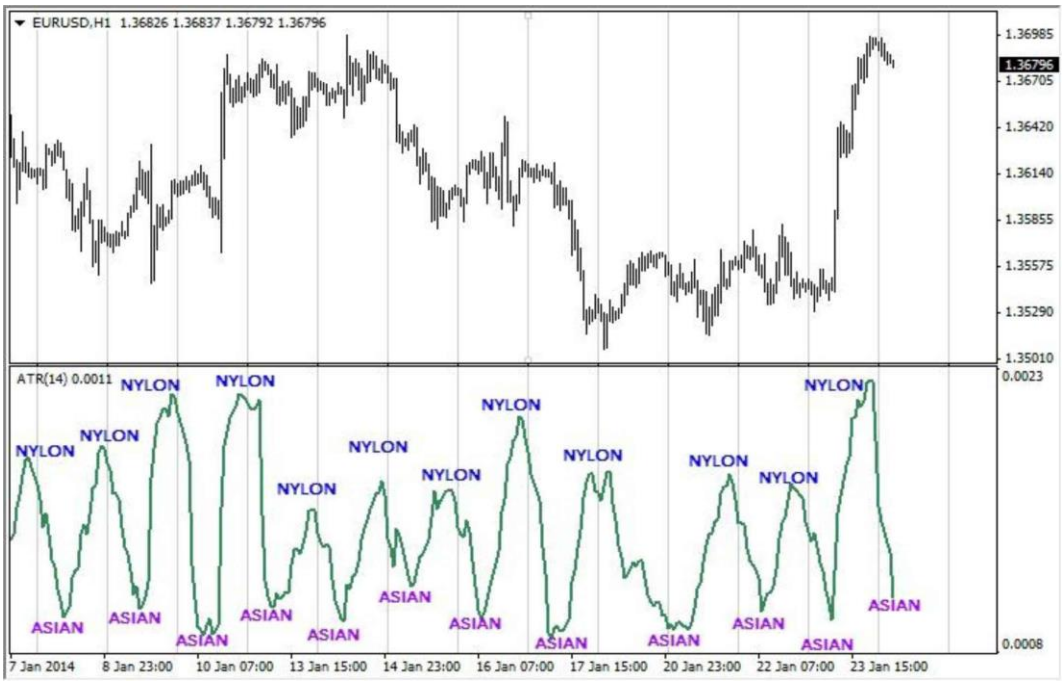


Although trading activity is at its peak during the London session (as it is in Europe as well), liquidity is at its peak when New York starts and the London session overlaps. The time period between New York and London known as the "Nylon" session is when trade volume and liquidity are at their maximum. It is therefore a good time to trade breakout methods because we may anticipate larger swings. As a result of the higher volume and liquidity, spreads are at their tightest during this time, which lowers transaction costs for the traders.

Asia Session

While New York and London are regarded as significant trading hubs, Tokyo, Hong Kong, and Singapore are also worthy of mention. Forex is viewed as a 24-hour market since Asian banks open and trade as London and New York banks conclude their formal trading sessions. However, because of the lower volume compared to the Nylon session, price changes are typically smaller and spreads are greater.

24-cycle of liquidity



The chart below uses an average true range (ATR) indicator with a 14-period truncation to graphically display the variations in liquidity over a 24-hour period. Each horizontal line here symbolizes a day, and the volume is represented by it. We can see that volume and liquidity are at its lowest during the Asian session and start to rise when Europe and London open, reaching their highest during the Nylon session. I believe this illustrates the daily cycle of volume increase and decrease, despite the fact that it is not accurate to the hour or minute.

Liquidity Hunting or Stop Hunting in Trading

What does stop hunting or liquidity hunting entail in trading?



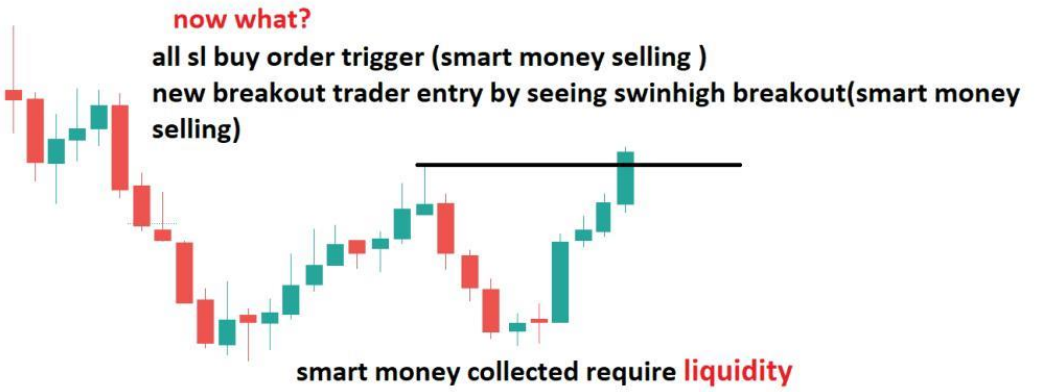
When the price fluctuates just above or below a region where retailers have placed stop loss orders, this is known as liquidity hunting or stop hunting. Both carrying out and reversing those commands.

How do traders engage in liquidity hunting or stop hunting?

Let's use an illustration to discuss this. Price is in a decline and is currently retracing. It makes sense to SELL when you observe bearish engulfing following a retracement in a downtrend since that is what you should do. If the price dropped and you made money, selling at that place was the right decision.


down trend ,every one wants to sell
including smart money and retailers
buy seeing bearish engulfing
sold and putting sl abpve recent high


now think reatilers mindset vs
smart money
retailers sl order
placing stop loss ad recent high
more retailers shorts are entering





The price then abruptly swings up to the stop loss level, hits your stop loss, and closes the transaction for you. You reflect, "Well, maybe I just made the wrong trade."

What happens next if the price declines after you place your stop loss? This indicates that all of those stop orders and buy stops gave the smart money ample liquidity to sell without experiencing any slippage.



The goal of stop hunting or liquidity hunting in trading

Before taking liquidity, be prudent. They Increase Liquidity. What is the purpose of this? They buy at discounts and sell at premiums as they construct their future targets without any slippage.

By encouraging traders to purchase or sell in the wrong direction and trapping them, smart money only targets places with greater Volumes pending. He then collects them. Therefore, the following are the primary goals of stop hunting or liquidity hunting:

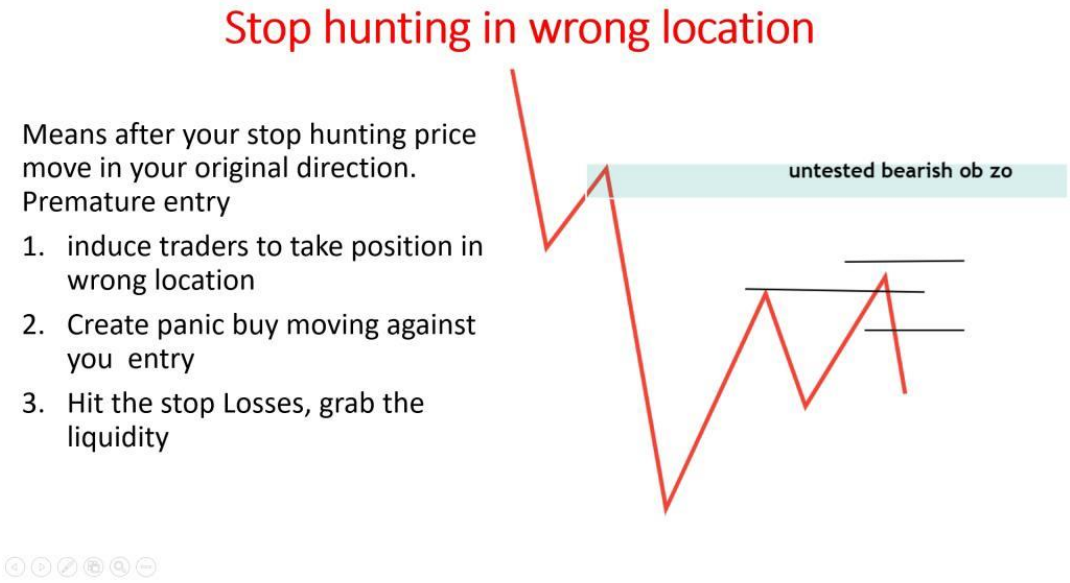
1. Avoid slippage brought on by large orders. Stop hunt are an essential tool for Institutions to carry out significant transactions without experiencing "slippage."
2. Buy low and sell high.

Types of liquidity hunting in trading.

The smart money collects liquidity via two different processes.

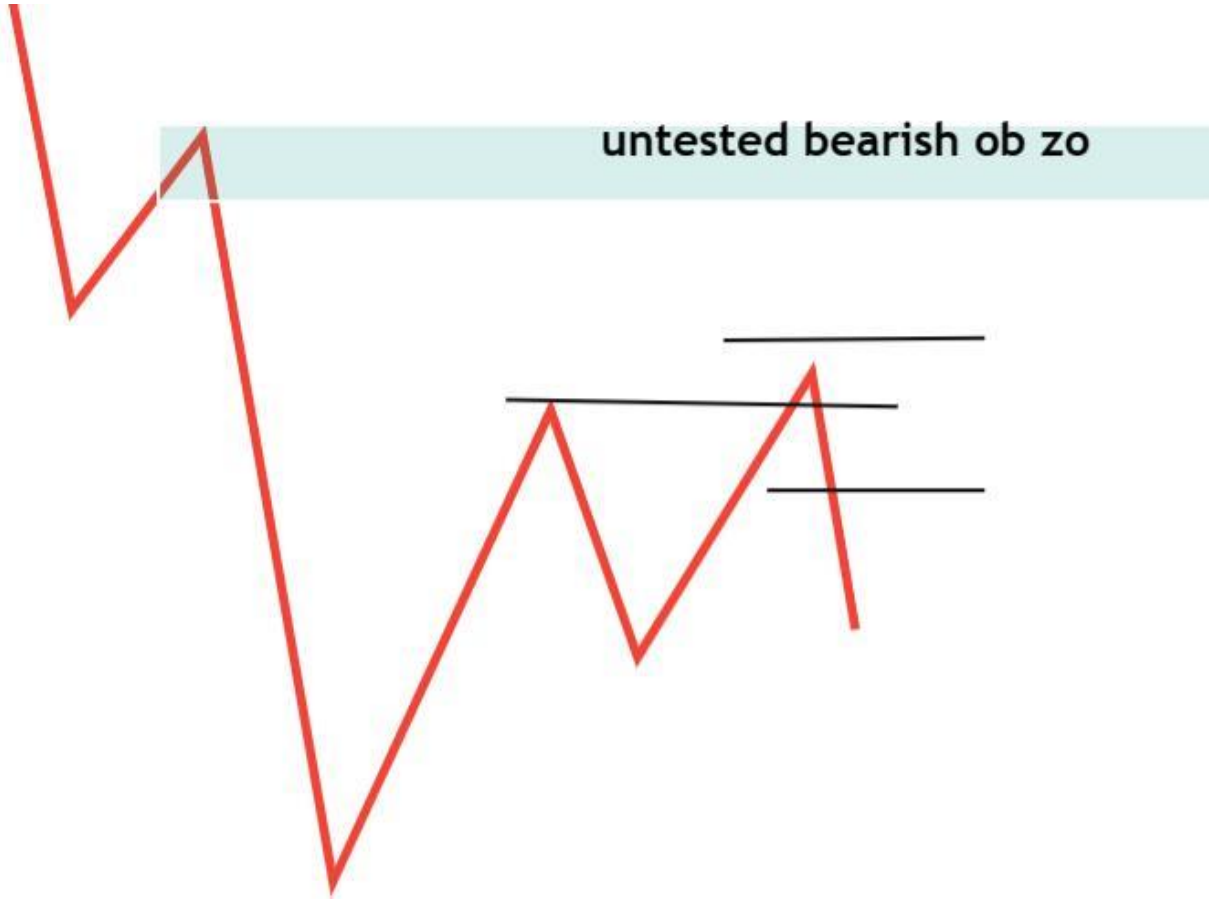
1. Inducement in the wrong direction
2. Stop Hunting in the wrong locations

Stop Hunting in the Wrong Locations



This indicates that the price will move in your original direction after you stop looking. Traders are induced to take positions in the wrong place via premature entry. By moving against your entry, you might induce fear. Stop the losses and seize the liquidity.

Let's use an illustration. When you notice a double top following a retreat in a downward trend, the obvious thing to do is to SELL. The price decreased, the area where you sold was "correct," and you made some money.



Suddenly, the price surges to your stop loss level, crosses it, and you are forced to exit the trade. You consider, "Well, maybe I just made the wrong trade," to yourself. As soon as you set your stop loss, the price begins to decline. This indicates that all of those stop orders and buy stops gave the smart money ample liquidity to sell without experiencing any slippage.



Let's use an illustration. The Price gained bullish momentum before entering the demand zone in the illustration below. It makes sense to purchase in the demand zone and sell in the supply zone. however, the place where you sold was "wrong." It makes early buyers feel FOMO ENTRY. You place a stop loss below the demand zone and purchase.



When the price drops to the point where your stop loss is hit, the trade is closed. You consider, "Well, maybe I just made the wrong trade," to yourself. After you placed your stop loss, the price then surged upward. This indicates that all of those stop orders and buy stops gave the smart money ample liquidity to buy without experiencing any additional slippage.

Inducement in the Wrong Direction

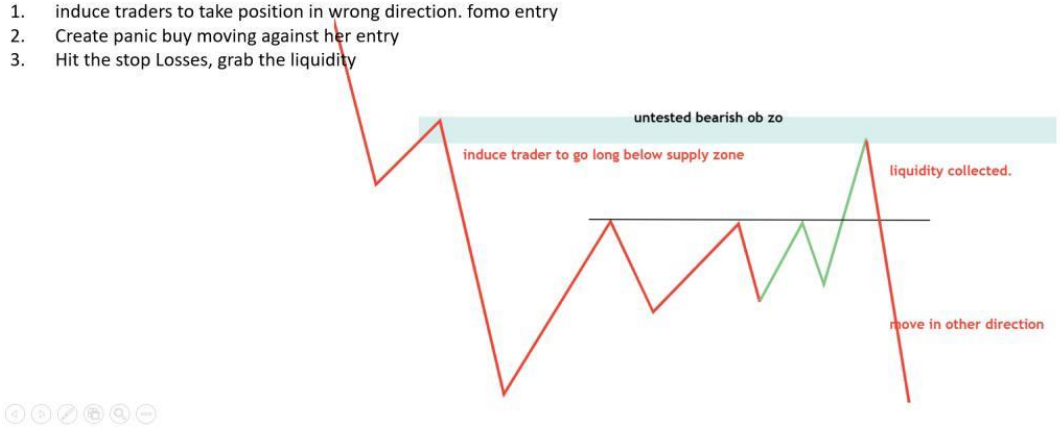
1. Encourages traders to enter into positions that are incorrect. Entry Fomo
2. By going against the admission, you can elicit fear.
3. Hit a stop loss, grab the Liquidity

Encourage traders to enter positions by offering proof that the price will move in that direction. A sort of liquidity known as an incentive can be found close to the area of interest or supply-demand zones. This is viewed as a trap for retail traders in general.

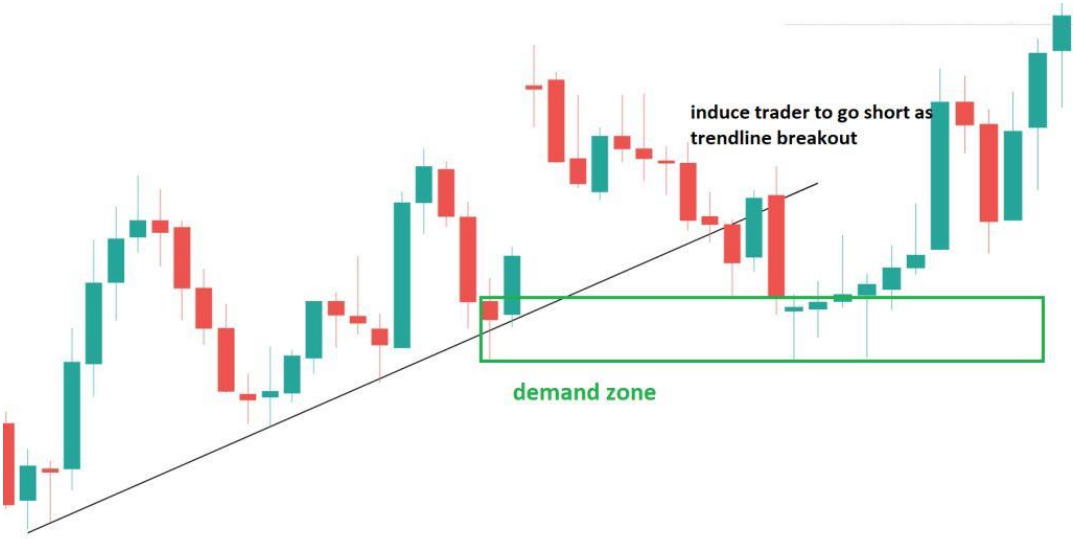
Inducement in wrong direction

Induce traders to take positions by providing evidence that price is going to move in a certain direction. Inducement is a form of liquidity which is found near Area of interest or supply demand zones. Which is basically seen as a trap for retail traders.

1. induce traders to take position in wrong direction. fomo entry
2. Create panic buy moving against her entry
3. Hit the stop Losses, grab the liquidity



An Example of an Inducement Below



How can we determine the location of the liquidity on the chart?

By encouraging traders to purchase or sell in the wrong direction and trapping them, smart money only targets places with greater Volumes pending. He then collects them. Once you know where the volumes are, you can trade alongside the smart money because you know where they are trading from.

Liquidity Hunting Locations

1. Support and resistance, often known as the supply-demand or order-block zone
2. The area of consolidation and accumulation
3. Double top and Double bottom
4. Trend lines/ Chart patterns
5. Day-old high and low

6. Session high low (the beginning of the day)
7. The end of the day.



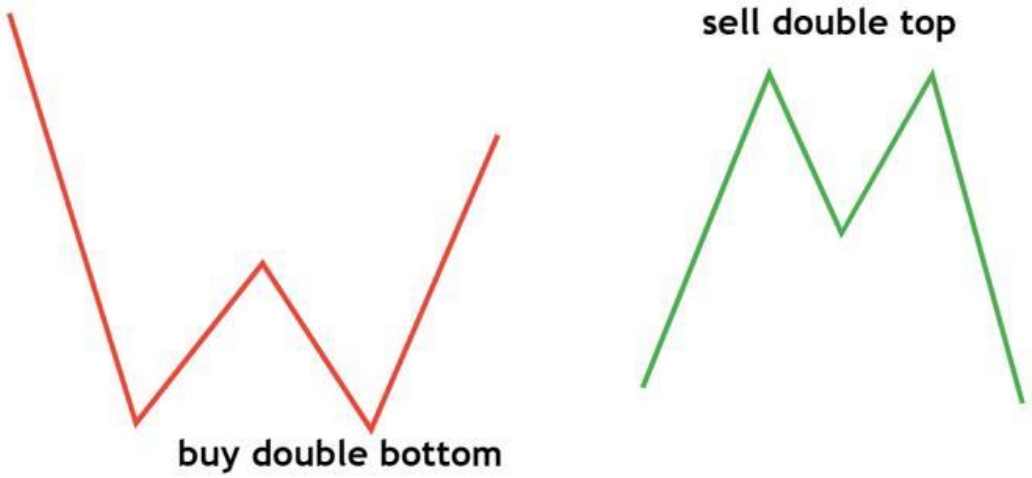
The majority of the markets' liquidity is being produced by these locations. Around these areas, we anticipate price manipulation. Image of a range, consolidation, or any support-resistance zone here

1. The stop loss for range traders who entered short positions at the top of the range will be above the range. As a result, the initial breakout will trigger all purchase orders with stop losses.
2. Traders will start to take long positions as a result of the breakout trend.
3. long entries during the flip support zone test.
4. All of these entries become liquid for smart money until the price holds above the flip zone once more.

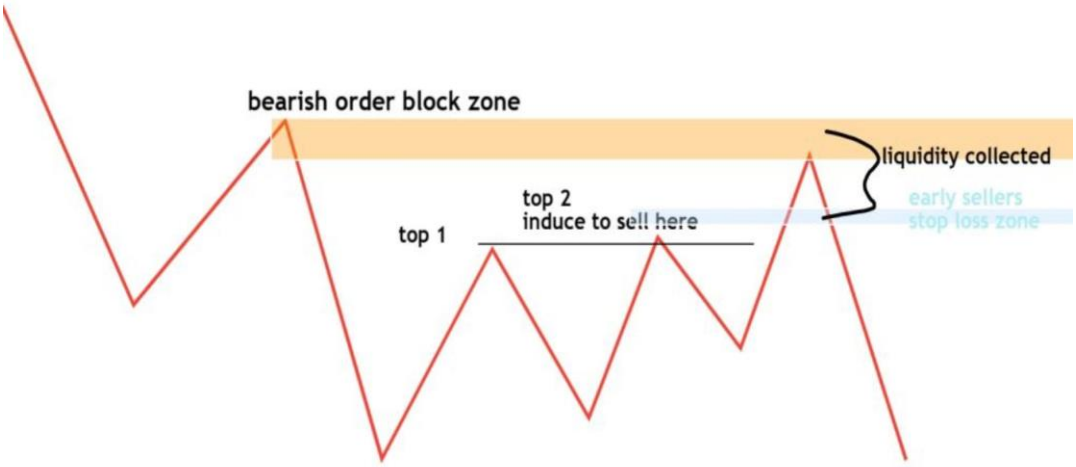


5. Once the necessary funds were liquidated by clever money, they changed course.

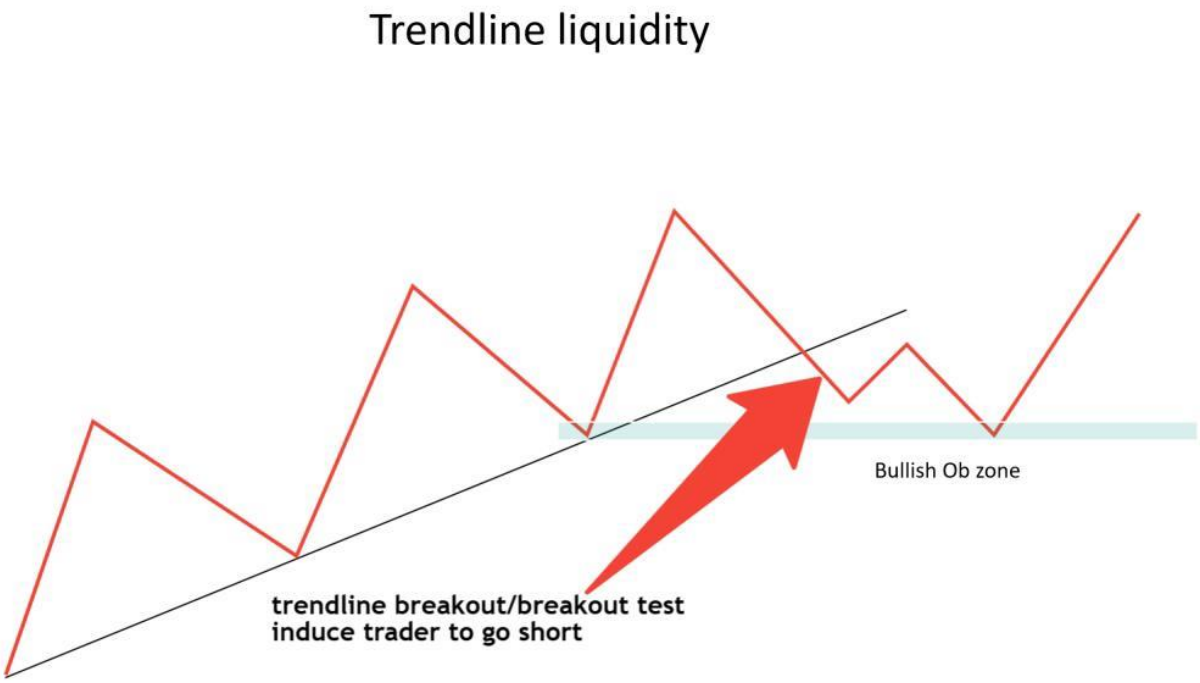
Double-bottom, double-top



From a trader's perspective for retailers. The double bottom is purchased, and the double top is sold. The wise money knows this. They may see that there are a lot of stop-loss orders accumulating there. Selling the shares they currently possess is institutional dealers' main duty. Without any slippage, they want to purchase low and sell high.



Trend line and Pattern



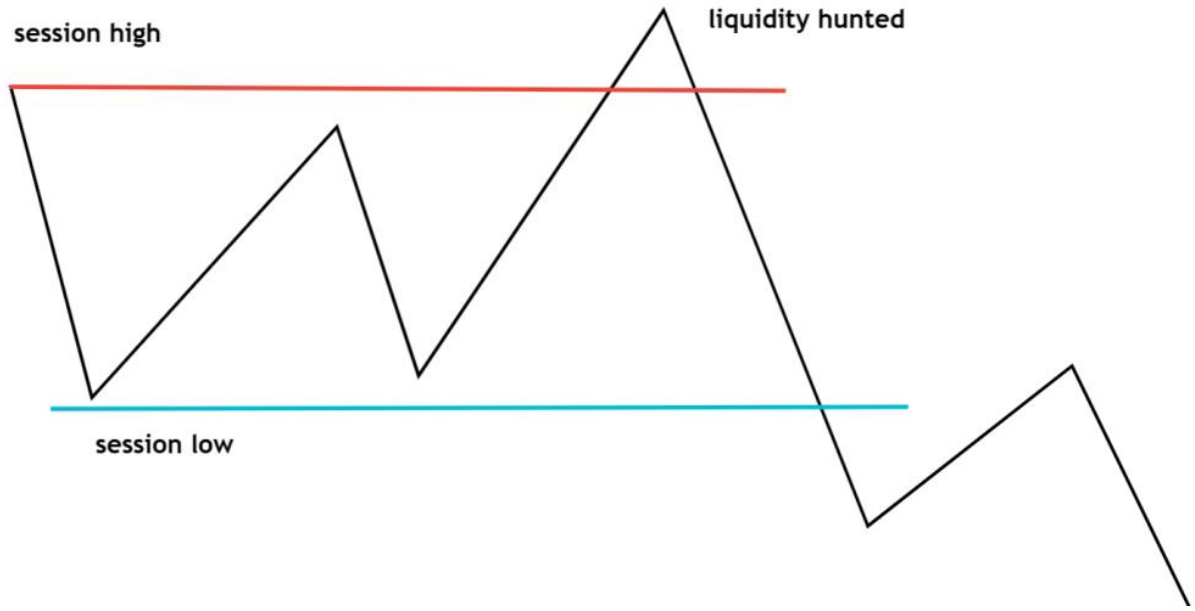


This is an image of the bullish order block with trend line liquidity hunting

Liquidity Trading in Session



Session high and low act as lie liquidity because most of the traders stop loss orders above high or below low.





Liquidity Swings

For traders to locate accumulation/distribution zones as well as levels to trade as support and resistance, the Liquidity Swings indicator indicates swing locations with heavy trading activity. A zone between the areas highlights how frequently price returned to each swing area. Labels on the chart further emphasize the cumulative volume within the swing areas.

There is also the option to exclude swing zones whose volume or counts fall below a user-defined threshold.

Settings

Pivot Look back: The time frame for looking back that is utilized to determine pivot points.

Swing Area: "Wick Extremity" uses the range from price high to the maximum between price close/open in the case of a swing high and the range from price low to the minimum between price close/open in the case of a swing low to determine how the swing area is computed. The swing area for "Full Range" will be the entire candle range.

Use intra-bar data to compute the volume that has accumulated within a swing area for more accurate results.

"Count" will filter out swing areas where price visited the area a lesser number of times than the user-set threshold.

Filter Areas By: Determines how swing areas are filtered out. When the total volume within a swing area is below the user-set threshold, “Volume” will filter those areas out.

Style

Shows swing highs in swing.

Shows swing lows in swing.

Label Size: Changes the size of the chart’s labels.





Usage

Utilizing the accumulation/distribution zones on lower timeframes, the liquidity swings indicator can be utilized to identify big swing regions that could serve as future support or resistance.



The indicator can only display significant swing areas with a higher level of liquidity by filtering swing zones by volume.

These swing zones may be larger, indicating greater volatility, or they may have been frequented more frequently by the price.

Keep in mind that swing points are verified after Pivot Look back bars, so all elements are shown in reverse order.

END.